CHAPTER 15

Divorce, Remarriage, and Gold Diggers

When a marriage dissolves in the first few years and no children are involved, there's ample opportunity to recover financially and move on. But midlife divorce constitutes the single biggest erosion of wealth imaginable. Since divorce is a reality for so many people, it's never been a more crucial time to protect your money and proceed with caution. After all, according to some studies, many divorced women experience up to a 25 percent drop in their standard of living (not so shockingly, men experience a 10 percent increase). It's unfair, especially because women are often the primary caregivers of children. That is why, for women, it's never been more crucial to keep your money separate during the marriage. Ladies (and men, too): Make your Secret 10 a chief component of a happy partnership.

If you are thinking of marrying for a second time, you should proceed with even more caution. According to Rutgers University's National Marriage Project, divorce rates for second marriages can be as high as 60 percent. And almost 75 percent of third marriages fail. I think these abysmal marriage stats mirror those for entrepreneurs who serially fail at business after business. Some people aren't cut out to be entrepreneurial, just as some people are not cut out for marriage. And in observing my own social circle, I've noticed that second marriages and even third ones are usually also marked by a rather wide age gap, sometimes as high as fifteen or twenty years. And I'm telling you, those couples rarely make it. Usually, we're talking about an older man/younger woman dynamic, and here's the chief complaint: After the initial excitement wears off, they're generally left with very little in